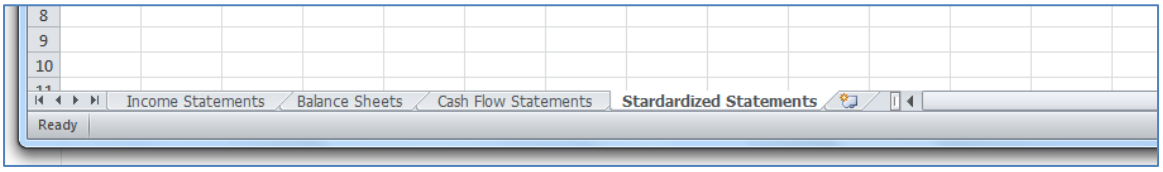
Instructions for standardizing financial statements in MS Excel

This short note describes how you can produce standardized financial statements in Microsoft Excel. In the following step-by-step instructions, it is assumed that you have a spreadsheet version of the original income statements, balance sheet, and cash flow statements available.

Step 1

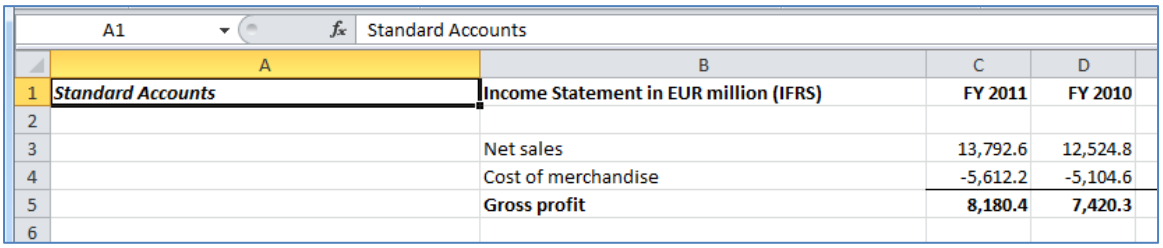
Create the worksheets for the original statements as well as the standardized statements.



Step 2

Copy and paste the original income statements, balance sheets, and cash flow statements into the appropriate worksheets. Make sure to:

- leave the most left column blank and label this column 'Standard Accounts'.
- label the columns containing the financial statement numbers. The labels of these columns must be in text format. That is, use labels such as 'FY 2011' rather than '2010'.



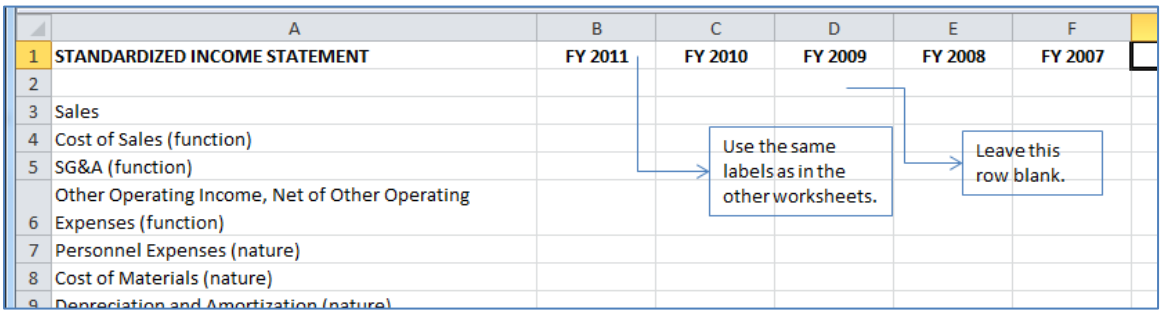
A1 | Standard Accounts

	A	B	C	D
1	*Standard Accounts*	**Income Statement in EUR million (IFRS)**	**FY 2011**	**FY 2010**
2				
3		Net sales	13,792.6	12,524.8
4		Cost of merchandise	-5,612.2	-5,104.6
5		**Gross profit**	**8,180.4**	**7,420.3**
6				

Step 3

In the 'Standardized Statements' worksheet, make a list of standard accounts (categorized by statement). Make sure to:

- give the columns with standardized statement numbers exactly the same label as you used in the other worksheets.
- leave one row blank between the headers and the account items of the standardized statements.



	A	B	C	D	E	F
1	**STANDARDIZED INCOME STATEMENT**	**FY 2011**	**FY 2010**	**FY 2009**	**FY 2008**	**FY 2007**
2						
3	Sales					
4	Cost of Sales (function)					
5	SG&A (function)					
6	Other Operating Income, Net of Other Operating Expenses (function)					
7	Personnel Expenses (nature)					
8	Cost of Materials (nature)					
9	Depreciation and Amortization (nature)					

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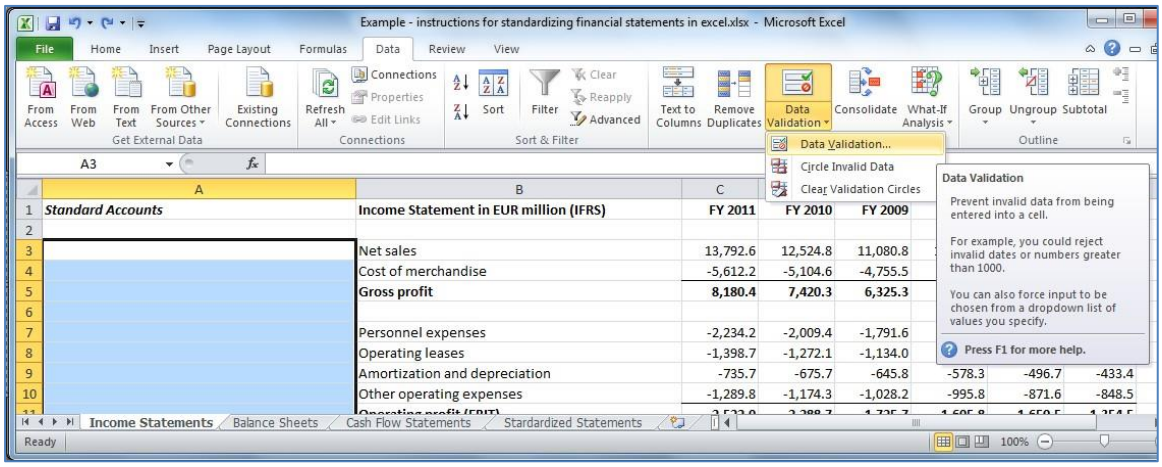
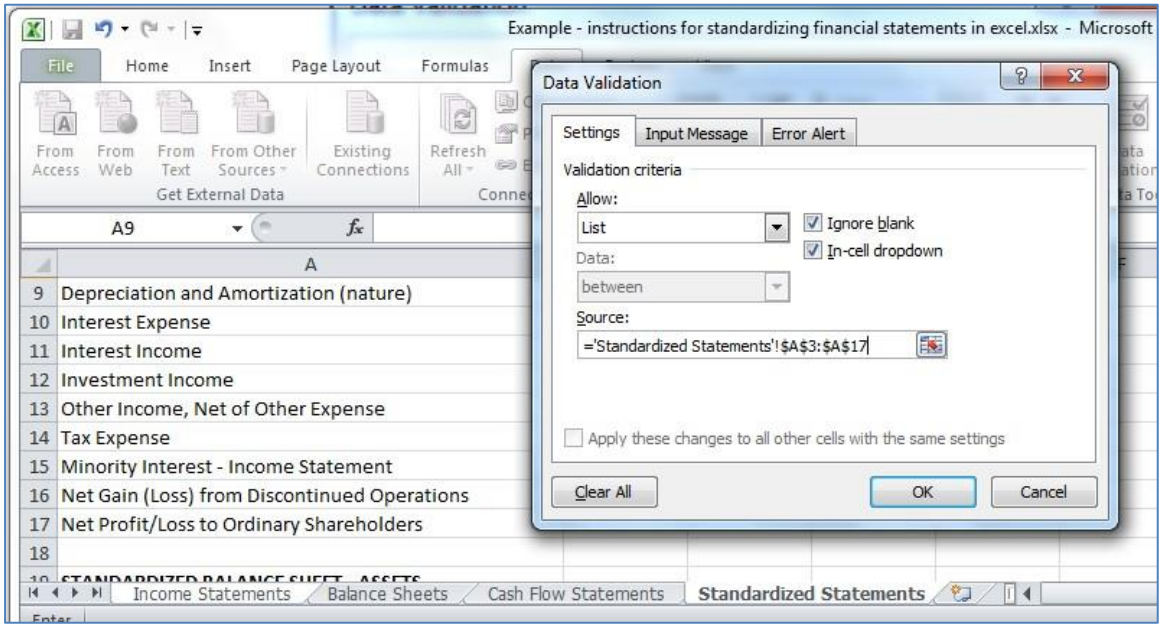
Step 4

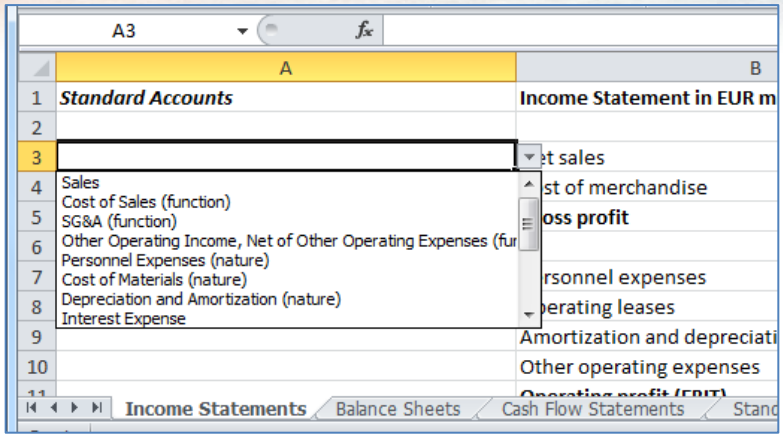
Create Validation Drop Down Lists in the most left columns of the 'Income Statements', 'Balance Sheets', and 'Cash Flow Statements' worksheets. To do so, select the cells left of the original statements (in the most left column) and choose 'Data – Data Validation' from the menu.



The following screen appears, in which you select 'Allow: List' and specify the appropriate range of standardized accounts (from the 'Standardized Statements' worksheet) as the source of validation criteria.



As a result, the most left columns (of the 'Income Statements', 'Balance Sheet', and ' Cash Flow Statements' worksheets) contain Validation Drop Down Lists.



Step 5

Enter the text 'Standard Accounts' in a blank cell in the 'Standardized Statements' worksheet. Make sure that:

- the cell is not within the range covered by the standardized statements.
- the cell immediately below this cell remains blank.

Step 6

In the 'Standardized Statements' worksheet, enter the following function in the cells immediately below the column labels:

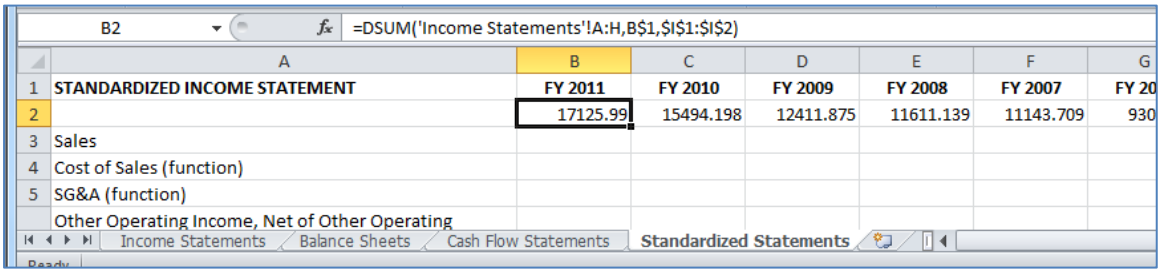
=DSUM(database,field,criteria)

where:

database refers to the cells containing the original statements (including the most left column).

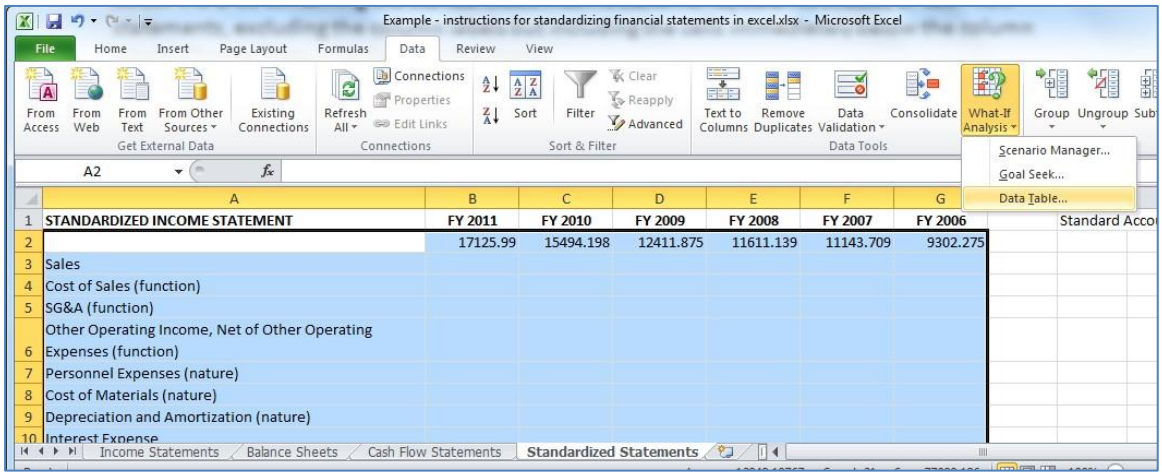
field refers to the label of the column, and

criteria refers to the cell in the 'Standardized Statements' worksheet that contains the text 'Standard Accounts' and the blank cell immediately below this cell.

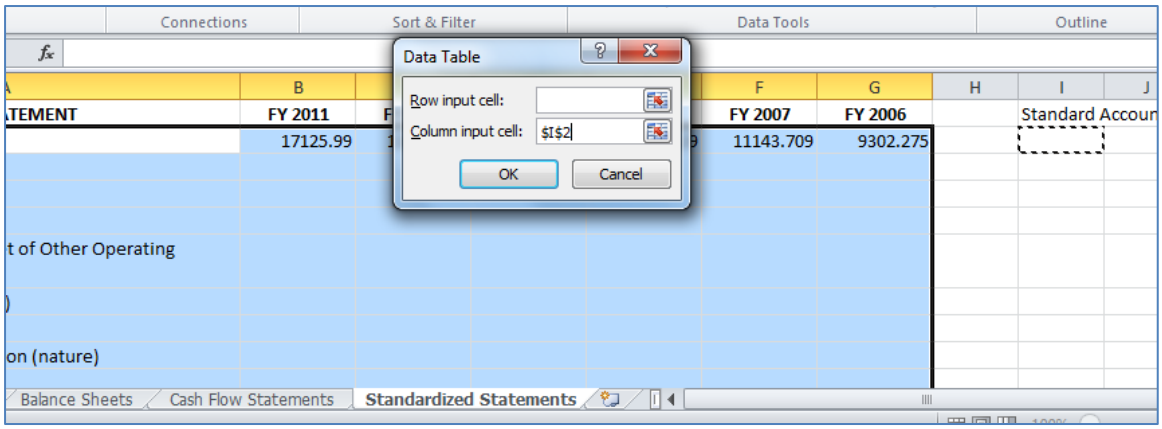


Step 7

Select the area containing the standardized income statements, balance sheets, or cash flow statements, excluding the column labels but including the cells immediately below the column labels. Choose 'Data – What-If-Analysis – Data Table' from the menu.



The following screen appears. In the 'column input cell' you enter a reference to the blank cell immediately below the text 'Standard Accounts' (in the 'Standardized Statements' worksheet). To confirm the cell reference, click on "OK".



After this step, the standardized financial statements are ready for use.